

ESOPs fables hide risky ends

Employee ownership of companies is a **rallying point** for businesses and **policymakers** because of its **potential to redistribute** wealth. A wide body of research suggests that **employee stock ownership plans** (Esops) **align** company and worker interests and deliver **outsized** rewards to both. **Lawmakers** have **seized on** this evidence to support efforts to slow rising **inequality**. The **acceptance** of Esops **spans** the political **spectrum**, as **tying** ownership **to** effort can appear to be a **magic pill** - but only when it works. There is growing evidence that not all Esops are created equal, and employee ownership may not be ideal, especially as corporate life expectancy declines rapidly.

Bringing business owners and workers closer **can** have **unintended** consequences for motivation. Companies may use Esops to **shield** themselves from management underperformance and **takeovers**. Employee **productivity** can fall due to **labour immobility**. Esops may also extend the life of **unviable** businesses by helping them **conserve** cash, while exposing workers' savings to high concentration risk. Small Esops **often** do improve productivity, but policymakers must watch for owners **offloading** excessive business risk onto workers. **Stories** of using friendly **shareholders** to **rescue** failing businesses **are** illuminating.



Technology companies - big **champions** of Esops - **have** created employee millionaires rapidly. Yet, these firms face greater risk, especially those that fail to **scale** with innovation. **Startups**, where Esops are most popular, also **have** high failure rates. **AI-driven disruption** further **complicates** the model by threatening **widespread** job loss. Other **ways** to increase worker ownership **exist** - it doesn't always have to be in the business they work for.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Conserve** (verb) – Preserve, protect, save, safeguard, maintain संरक्षण करना

Vocabulary

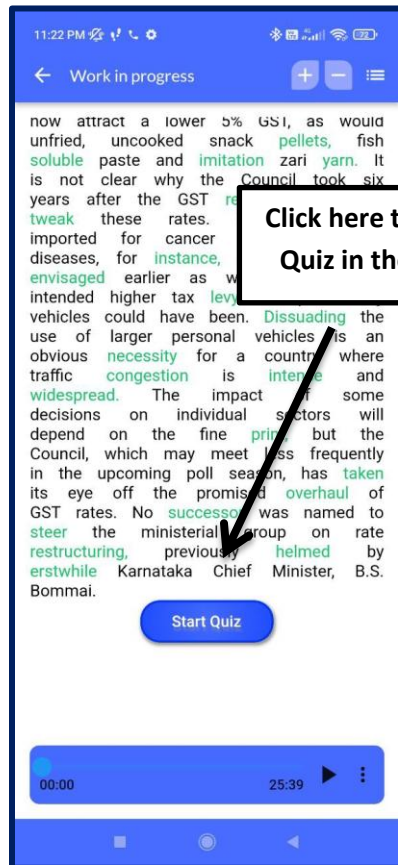
1. **Fable** (noun) – myth, tale, legend, parable, allegory उपकथा
2. **Ends** (noun) – goals, objectives, purposes, outcomes, aims उद्देश्य
3. **Rallying point** (noun) – someone or something that makes people join together to support a person, cause, etc. एकजुटता का केंद्र
4. **Policymaker** (noun) – legislator, lawmaker, regulator, authority, decision-maker नीतिनिर्माता
5. **Potential** (noun) – capability, capacity, promise, possibility, aptitude संभावना
6. **Redistribute** (verb) – reallocate, share, apportion, disseminate, reassign पुनः वितरण करना
7. **Employee Stock Ownership Plan (ESOP)** (noun) – a benefit plan where a company grants its employees ownership interest in the company, typically as part of their compensation.
8. **Align** (verb) – coordinate, match, adjust, harmonize, synchronize संरेखित करना
9. **Outsize** (verb) – enlarge, exceed, outdo, surpass, overtake बढ़ा करना
10. **Lawmaker** (noun) – legislator, MP, senator, representative, policymaker कानून निर्माता
11. **Seize** (on) (verb) – grasp, grab, capitalize, exploit, snatch प्रयोग करना
12. **Inequality** (noun) – disparity, imbalance, bias, discrimination, unfairness असमानता
13. **Span** (verb) – extend, cover, stretch, range, bridge फैला होना
14. **Spectrum** (noun) – range, scope, span, gamut, array सीमा/ विस्तार
15. **Tie** (to) (verb) – link, connect, attach, associate, relate जोड़ना
16. **A magic pill** (noun) – quick fix, panacea, silver bullet, easy solution, miracle cure चमत्कारी उपाय
17. **Unintended** (adjective) – accidental, unplanned, unforeseen, inadvertent, incidental अनचाहा
18. **Shield** (verb) – protect, guard, defend, buffer, shelter बचाना
19. **Takeover** (noun) – acquisition, buyout, merger, control, annexation अधिग्रहण
20. **Productivity** (noun) – efficiency, output, performance, yield, effectiveness उत्पादकता
21. **Labour immobility** (noun) – the difficulty or inability of workers to move between different jobs or locations.

22. **Unviable** (adjective) – unsustainable, impractical, unworkable, infeasible, nonviable अक्षम
23. **Often** (adverb) – frequently, regularly, repeatedly, commonly, usually अक्सर
24. **Offload** (verb) – dump, transfer, unload, shed, shift बोझ उतारना
25. **Shareholder** (noun) – investor, stockholder, stakeholder, equity holder, proprietor शेयरधारक
26. **Rescue** (verb) – save, recover, free, retrieve, liberate बचाना
27. **Illuminate** (verb) – clarify, explain, enlighten, highlight, reveal स्पष्ट करना
28. **Champion** (noun) – advocate, supporter, promoter, defender, proponent समर्थक
29. **Scale** (verb) – expand, grow, increase, escalate, multiply बढ़ाना
30. **AI-driven** (adjective) – automated, machine-led, algorithm-based, technology-enabled, intelligence-powered एआई-संचालित
31. **Disruption** (noun) – disturbance, interruption, breakdown, upheaval, disorder विघटन
32. **Complicate** (verb) – entangle, confuse, worsen, intensify, muddle जटिल बनाना
33. **Widespread** (adjective) – extensive, prevalent, ubiquitous, universal, far-reaching व्यापक
34. **Exist** (verb) – live, remain, survive, persist, be अस्तित्व में होना

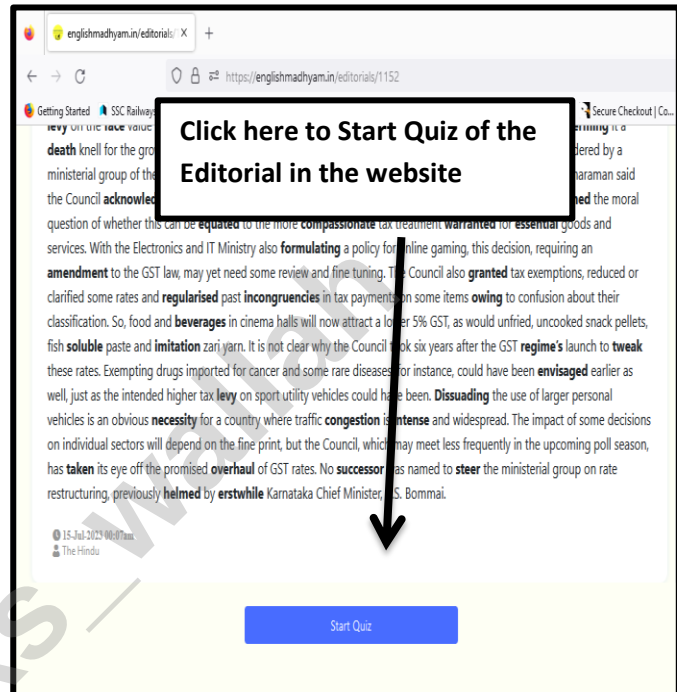
Summary of the Editorial

1. ESOPs Promote Wealth Distribution – Employee stock ownership plans (ESOPs) are praised for redistributing wealth and aligning worker–company interests.
2. Bipartisan Support – ESOPs enjoy political support across the spectrum as they symbolically connect effort with ownership.
3. Not Universally Effective – Research now shows that ESOP success is uneven, and results vary widely across companies.
4. Declining Corporate Lifespans – The shorter lifespan of modern companies makes long-term employee ownership riskier.
5. Motivation Risks – Closer ties between workers and ownership may backfire, weakening motivation rather than strengthening it.
6. Used as a Defensive Tool – Some firms use ESOPs to avoid takeovers or mask poor management performance.
7. Labour Immobility Problem – ESOPs can cause reduced employee flexibility, making workers less willing or able to change jobs.
8. Prolonging Unviable Firms – ESOPs may artificially extend the life of failing businesses, masking financial unsustainability.
9. Concentration Risk – Employees risk having too much of their savings tied to their company, making them financially vulnerable.
10. Small ESOPs Show Gains – Smaller-scale ESOPs often lead to productivity improvements, but they come with caveats.
11. Risk Offloading by Owners – Owners may shift disproportionate business risks to employees under the guise of shared ownership.
12. Rescue Stories as Warnings – Cases where ESOPs were used to save failing firms using friendly shareholders show potential misuse.
13. Tech Firms' Role – Technology companies have created ESOP millionaires, but are also more prone to failure due to innovation demands.
14. Startup Vulnerability – Startups, where ESOPs are most used, face high failure rates, putting employees at financial risk.
15. Alternative Ownership Models – The editorial concludes by urging exploration of other models for worker ownership, not limited to the business where they are employed.

Practice Exercise: SSC Pattern Based



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